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Lawmakers pass placeholder state budget, continue talks

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California lawmakers on Thursday passed placeholder budget legislation that ensures they will continue to be paid even as they remain in negotiations with Gov. Gavin Newsom over a final budget.

The legislation they passed Thursday technically satisfies their constitutional requirement to pass a budget bill by June 15. But it doesn't represent agreement with Newsom, who has the final say, and means they will need to pass follow-up legislation later this month ahead of the July 1 start of the 2024-25 fiscal year.

If lawmakers hadn't passed the placeholder legislation before the deadline, they would have risked forgoing pay while negotiations continue.

Senate President Pro Tem Mike McGuire, D-Geyserville, said he anticipates that a deal between lawmakers and the governor is "right around the corner," and that the final budget will look much like the bills passed Thursday. He said they could reach and pass an agreement as early as next week.

A big difference between the governor's proposal, which Newsom unveiled in May, and the lawmakers' budget legislation is a $1 billion cut to prisons put forth by the Legislature. That cut reflects half a billion dollars in baseline cuts to the prison system's budget, as well as a lower projected number of prisoners than the governor accounted for in his spending plan.

That cut allowed lawmakers to reject some cuts that Newsom proposed to public health funding, housing programs and college scholarships in the legislation passed Thursday.

The Legislature's budget still includes cuts. In April, Newsom and lawmakers approved a series of spending cuts and internal borrowing tricks to reduce the state budget deficit by about $17 billion. That led Newsom's office to estimate he and lawmakers need to account for a remaining $27.6 billion shortfall.

"In this moment, the people of California expect the government to tighten its belt and balance the budget," said Assembly Member Jesse Gabriel, the Encino Democrat who chairs the Assembly Budget Committee. "But we also know that they want us to protect core programs and services that are essential to our communities. That is what this legislative budget does."

Lawmakers have agreed to an 8% cut Newsom proposed to state government operations, in part by increasing state government's use of artificial intelligence, and eliminating 10,000 unfilled state positions. That would reduce state spending by about $760 million going forward.

The main budget bill passed the Senate and Assembly on party-line votes, with Democrats supporting and Republicans opposing.

Assembly Member Heath Flora, R-Modesto, and other Republicans noted that the budget bills do not reflect a final agreement.

"Today we have been provided a budget that is balanced on paper but is incomplete and lacking," said Flora, who serves as the top Republican on the Assembly Budget Committee. "It is not the final budget because we're still waiting on the negotiations from the governor."

Republicans railed against funding in the budget for continued work on high-speed rail and health care for undocumented immigrants.

They also argued that the bills assume California will collect more in taxes in future years than it actually will.

"We have several items in this budget that are going to cause problems for the next budget," said Sen. Roger Niello, the Fair Oaks Republican who serves as Flora's counterpart on the Senate Budget Committee. "This budget is balanced nominally, but it is not sustainable."

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